ANALYST MEMO

TO: Head of Growth; Head of Seller Operations FROM: Latifat Hassan

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RE: TradeZone Platform Performance Review (2023–2024)

Executive Summary

TradeZone experienced strong revenue growth in 2024, driven by a 326.7% increase in Q4 year-over-year performance. Despite this performance, this growth is not yet sustainable due to weak customer conversion and reliance on a small group of high-performing sellers, indicating structural weaknesses in both demand activation and marketplace quality.

Key Findings

1. Customer Conversion Remains Weak Across Key Markets (Query 1)

The average 30-day conversion rate in the top acquisition states is **39.5%.** Lagos leads with a conversion rate of 49.32%, followed by FCT at 41.30% and Rivers at 42.42%. In contrast, Oyo and Kano have significantly lower conversion rates of 33.33% and 31.03%, respectively.

What it means: TradeZone is effective at attracting new customers, but many do not make their first purchase, especially in states with lower conversion rates. This creates inefficiency in acquisition spending and limits the revenue generated from new users.

2. Revenue Is Concentrated Among High-Spending Customers (Query 5)

High-spending customers (≥ #100,000) contributed #**832.9M**, compared to #2.16M from medium spenders and #1.08M from low spenders.

What it means: TradeZone's overall financial performance relies heavily on a small segment of high-value customers. This creates structural risk, as churn or reduced spending from this group would significantly affect the overall revenue performance.

3. Seller Quality Distribution Is Uneven and Affects Platform Reputation (Queries 3 & 8)

Seller performance is uneven, with only a subset meeting both fulfilment and quality benchmarks, while a broader group operates below a 4.0 average rating. However, some lower-rated sellers process a high volume of orders, amplifying their impact on customer experience.

What it means: This creates a two-tier marketplace where high-performing sellers sustain quality while underperforming sellers drive inconsistent experiences. This weakens customer trust and limits scalable growth.

Recommendation

1**. Improve Early Customer Activation in Low-Converting States**

Action: Deploy a structured 14-day onboarding and incentive campaign targeting new users in low-performing states (e.g., Kano, Oyo). Include first-purchase incentives and personalized product recommendations based on local demand patterns.

Owner: Growth Team

Expected Outcome (60–90 days):
Increase 30-day conversion rates toward ~50% in underperforming states, improving monetization and acquisition ROI.

2. **Strengthen Seller Performance Management Framework (Query 8)**

Action: Implement a seller segmentation system based on rating and fulfilment performance, with defined thresholds for rewards, monitoring, and corrective action. Underperforming sellers should be deprioritized if standards are not met.

Owner: Seller Operations Team

Expected Outcome (60–90 days):
Improve overall seller rating consistency, enhance fulfilment reliability, and reduce negative customer experiences.

Data Quality Notes

1**. Missing Revenue Data Linked to Products Without Unit Price.**

A total of **97 records in order_items** had NULL unit_price and line_total, traced to four products (Kitchen Knife Set, Standing Fan, JAMB CBT Questions, Ribena Blackcurrant Drink) missing prices in the products table.

This issue propagated across related tables:

- **71 orders with NULL total_amount despite valid delivery dates**
- **155 payment records with missing amounts**

Decision made: Prices were not estimated. Affected records were retained, but revenue calculations excluded NULL values.

Potential impact if incorrect: Revenue is likely understated, particularly in affected categories, which may influence **product performance (Q2)**, **revenue trends (Q4)**, and **category analysis (Q7)**..

2. **Inconsistent Location Formatting**

City fields contained multiple formatting inconsistencies (e.g., *"Lagos", "lagos", "Lago s", "IBADAN", "PortHarcourt"*), which could affect geographic analysis.

Decision made: Standardized using trimming, casing, and known corrections.

Potential impact if incorrect: Misclassification could distort **state-level insights**, particularly in **conversion (Q1)** and **payment analysis (Q6)**.

What the Data Cannot Tell Us

Business question:
Why are a large number of newly acquired customers not converting within their first 30 days?

Why it cannot be answered:
The dataset lacks visibility into customer behavior and motivations, making it unclear whether drop-off is driven by pricing, experience, onboarding, or competition.

Additional data required:

- Customer behavioural data (sessions, product views, cart abandonment)
- Customer feedback data (surveys, churn reasons)
- Marketing attribution data (acquisition channels, campaigns)

This would enable identification of drop-off points and support targeted conversion improvements.